



Time: 5 minutes

Outcome: Identify Monopoly Power, Barriers to Entry & Sources of Monopoly.

Difficulty: Intermediate

Monopoly Power, Barriers to Entry & Sources of Monopoly

THE CORE IDEA

A monopoly has durable market power because barriers prevent close rivals from entering and eroding that power. Barriers can keep profit from triggering the entry response that erodes profit in competitive markets. Natural monopoly can make one-firm production cost-efficient while still creating a market-power problem.

HOW TO RECOGNIZE IT

- A city has one coffee shop today, but entry is easy and several rivals are preparing to open.
- A software firm is the only seller this year.
- The current one-seller market does not by itself establish durable monopoly power.
- One seller becomes a durable monopoly only when entry is meaningfully blocked.

WATCH OUT

Do not treat any large firm as monopoly. Durable monopoly power depends on the relevant market and barriers to entry. A monopoly requires meaningful barriers to entry, not merely one seller at a moment in time.

WORKED EXAMPLE: IDENTIFYING A BARRIER TO ENTRY

A city grants one firm the exclusive right to distribute water through its pipe network. Even if another firm could supply water, the exclusive license prevents legal entry. This is a legal barrier, distinct from economies of scale that can also make a single network less costly. Identifying the barrier does not by itself determine the best regulated price.

CHECK YOURSELF

Which fact most strongly supports classifying a firm as a monopoly?